

CLIENT ENGAGEMENT LETTER

Forensic investigation of client accounts and non-contentious business agreement

CLIENT	<u>[Full name of client]</u>
ADDRESS	<u>[Client address]</u>
MATTER	Forensic investigation of the Accounts identified at Schedule 1
OUR REFERENCE	<u>[Matter reference]</u>
FEE EARNER	<u>[Name]</u> , <u>[Title]</u>
SUPERVISOR	<u>[Name]</u> , <u>[Title]</u>
DATE	<u>[Date]</u>
OUR CHARGES	20% of Recovered Assets <u>[plus / including]</u> VAT. No fee for our time if nothing is recovered. See clause 12.

PLEASE READ CLAUSES 12, 23 AND 42 BEFORE SIGNING

Clause 12 sets out how our 20% fee is calculated and when it becomes payable. Clauses 23 to 25 explain that this agreement covers investigation work only, and that a separate written agreement must be signed before any court proceedings are issued. Clauses 42 and 43 set out your right to cancel within 14 days.

Edison Law is authorised and regulated by the Solicitors Regulation Authority, SRA number [510498 — verify]. A list of directors is available at our registered office. This document is a non-contentious business agreement for the purposes of section 57 of the Solicitors Act 1974.

1. WHO WE ARE AND WHO IS ACTING FOR YOU

1. This letter, together with our attached Terms of Business, records the agreement between Edison Law (“**we**”, “**us**”, “**our**”) and [client name] (“**you**”). Please read it carefully. If anything is unclear, contact us before signing.
2. The person with day-to-day conduct of your matter is [name], [title], contactable at [email] and [telephone]. The supervising [partner/director] is [name].
3. We will keep you informed of progress and will report to you at least [monthly / every six weeks], and promptly on any material development.

2. WHAT WE HAVE AGREED TO DO

4. You have instructed us to carry out a forensic investigation into the bank current accounts and other accounts listed at Schedule 1 (the “**Accounts**”), for the purpose of identifying and tracing funds which you believe have been removed from, misapplied within, or wrongly debited to those Accounts (the “**Investigation**”).
5. The Investigation will comprise:
 - obtaining and reconstructing statements, mandates, and transaction records for the Accounts, including by subject access request, formal request to the account provider, or such other lawful means as we consider appropriate;
 - forensic analysis of the transaction data to identify unauthorised, disputed or suspicious entries;
 - tracing the onward destination of identified funds so far as the available material permits;
 - instructing forensic accountants, intelligence agents or other experts where we consider it necessary, subject to clause 6;
 - corresponding with the account provider, and with any third party we identify as a recipient of funds, including making formal demand for repayment or reimbursement; and
 - reporting to you in writing with our findings and our advice on the merits and options for recovery.
6. The Investigation does **not** include, and this agreement does not cover:
 - issuing or conducting any court proceedings, arbitration or other formal dispute resolution;
 - the conduct of a private prosecution;
 - any application for a freezing, search, disclosure or proprietary injunction;
 - enforcement of any judgment or order;
 - tax, insolvency, regulatory, matrimonial or immigration advice; or
 - advice on the law of any jurisdiction other than England and Wales.

If any of that work becomes appropriate we will advise you and, if you wish us to act, we will agree separate terms with you in writing in advance. See clauses 23 to 25.

3. WHAT WE NEED FROM YOU

7. You must give us full, accurate and prompt instructions and disclose to us all documents and information relevant to the Investigation, including anything which is unfavourable to your position. We are entitled to rely

on what you tell us without independent verification.

8. You must sign the Authority and Mandate at Schedule 2, and any further authority reasonably required to enable us to obtain records relating to the Accounts.
9. You must not, without first consulting us, contact any person we have identified as a suspected recipient of funds, or accept any offer of settlement in relation to the subject matter of the Investigation.
10. You must tell us promptly if you receive any money, credit, refund, reimbursement, chargeback, write-back or other benefit relating to the Accounts or the subject matter of the Investigation, whether or not you consider it connected with our work.

4. TIMESCALES

11. We expect to deliver our first written report within [8–12] weeks of receiving your signed authority and completing our identity checks. That estimate depends substantially on the speed at which the account provider produces records, which is outside our control. We will tell you promptly if the estimate changes.

5. OUR FEE

12. **The basis of our charge.** This is a contingency fee arrangement. We will not charge you for our time. Instead, if the Investigation results in a recovery, our fee is **20% of the Recovered Assets**, [plus VAT at the prevailing rate / inclusive of VAT].
13. **What counts as a recovery. “Recovered Assets”** means the gross value, before deduction of any costs, of any money, property, credit or other benefit which you receive, or which is credited, refunded, reimbursed, written back or restored to you, or the value of any liability of yours which is extinguished or reduced, where that arises directly or indirectly from or in connection with the Investigation, whether by voluntary payment, negotiated settlement, chargeback, complaint outcome, regulatory or ombudsman award, or otherwise. Where a recovery is of property rather than money, its value is its open market value at the date of recovery, to be agreed between us or, failing agreement, determined by an independent valuer appointed under clause 47.
14. **If nothing is recovered.** If the Investigation produces no Recovered Assets, you owe us nothing for our time. You remain liable for disbursements under clauses 20 to 22.
15. **When our fee is payable.** Our fee falls due on the date the Recovered Assets are received by you or by us on your behalf. Where funds are received into our client account, you authorise us to deduct our fee and any outstanding disbursements before accounting to you for the balance, and we will send you a bill and a written statement of the deduction at the same time.
16. **Recoveries after this agreement ends.** If, within [12] months of the date this agreement ends, you receive Recovered Assets which arise from work we carried out or from a claim, counterparty or line of enquiry we identified, our fee under clause 12 remains payable on those Recovered Assets. This clause does not apply where we have terminated without good reason under clause 37.
17. **Costs recovered from a third party.** If any third party pays or is ordered to pay a contribution towards your legal costs in relation to the subject matter of the Investigation, that sum belongs to us up to the amount of our fee, and is credited against it. You will not recover more in costs than our fee.
18. **Interest.** Any sum properly due to us and unpaid after 30 days carries interest at [4]% above the Bank of England base rate from time to time, accruing daily.

19. **Statutory status of this arrangement.** This agreement is a non-contentious business agreement made under section 57 of the Solicitors Act 1974. It relates only to non-contentious business, as explained at clauses 23 to 25. You have the right to apply to the court to set this agreement aside if the court considers it unfair or unreasonable.

6. DISBURSEMENTS AND THIRD-PARTY COSTS

20. Disbursements are payments we make to third parties on your behalf — for example bank record retrieval charges, forensic accountancy fees, company and land registry searches, intelligence and asset-tracing agents, translation, and counsel's fees for advice. These are **not** covered by our 20% fee and are payable by you whether or not the Investigation succeeds.
21. We will not incur any single disbursement exceeding [£500], or disbursements exceeding [£2,500] in aggregate, without your prior written approval. We may ask you to put us in funds before incurring a disbursement, and we are not obliged to incur one until you have done so.
22. We will bill disbursements [monthly / as incurred] and they are payable within 30 days.

7. THE LIMIT OF THIS AGREEMENT — INVESTIGATION ONLY

23. **This is important.** The law treats work done before court proceedings are issued as *non-contentious business*, and work done once proceedings are issued as *contentious business*. A percentage-of-recovery fee of the kind agreed at clause 12 is permitted for non-contentious business. It is not permitted for contentious business except under a separate agreement complying with the Damages-Based Agreements Regulations 2013.
24. Accordingly, this agreement covers the Investigation only, up to but not including the issue of proceedings. If at any point it becomes appropriate to issue proceedings, we will advise you and, if you wish us to continue acting, we will offer you a separate written funding agreement **before** proceedings are issued. That agreement may be a damages-based agreement, a conditional fee agreement, an hourly-rate retainer, or a combination.
25. If we do not act for you in any proceedings, our entitlement under clause 12 to a fee on Recovered Assets attributable to the Investigation is unaffected, subject to clause 16.

8. IDENTITY CHECKS AND SOURCE OF FUNDS

26. We are required by law to verify your identity and, where relevant, the source of your funds before we begin substantive work. We may carry out electronic verification checks, which will leave a record on your file with the agency but will not affect your credit rating. We cannot begin work until these checks are complete.

9. REPORTING OBLIGATIONS

27. We are subject to duties under the Proceeds of Crime Act 2002 and related legislation. In certain circumstances we may be obliged to make a report to the National Crime Agency, and the law may prevent us from telling you that we have done so or from continuing to act, and may require us to stop work for a period. We will not be liable to you for any loss arising from our compliance with those obligations.

10. CONFIDENTIALITY, PRIVILEGE AND CONFLICTS

- 28. Everything you tell us is confidential and, where the conditions are met, protected by legal professional privilege. We will not disclose it without your consent except where the law or our regulator requires.
- 29. Our findings, reports and working papers are produced for your benefit and for the purpose of the Investigation. You may not disclose them to any third party, or rely on them for any other purpose, without our written consent, which we will not unreasonably withhold. Disclosure to a third party may waive privilege.
- 30. We have carried out a conflict check and are not aware of any conflict preventing us from acting. If a conflict arises we will tell you promptly and may have to stop acting.

11. DATA PROTECTION

- 31. We are the controller of the personal data we process for this matter. We process it to perform this contract, to comply with our legal obligations, and for our legitimate interests in investigating and recovering assets. The Investigation is likely to involve processing data about third parties, including suspected recipients of funds; where it involves data relating to criminal offences we process it under the substantial public interest and legal claims conditions in the Data Protection Act 2018. Our full privacy notice is at [\[edisonlaw.uk/privacy\]](https://edisonlaw.uk/privacy).

12. OUR LIABILITY TO YOU

- 32. We maintain professional indemnity insurance meeting the SRA's minimum terms. Details of our insurer and territorial coverage are available on request and at our registered office.
- 33. Our total liability to you arising from this matter, whether in contract, tort, breach of statutory duty or otherwise, is limited to [\[£3,000,000\]](#). This limit does not apply to liability for death or personal injury caused by our negligence, for fraud or fraudulent misrepresentation, or to any liability which cannot lawfully be limited.
- 34. We do not accept liability for loss arising from the accuracy or completeness of records produced by third parties, including account providers, or from information you have given us which is incomplete or inaccurate.
- 35. You agree that any claim will be brought against the firm and not against any individual [\[director / employee / consultant\]](#).

13. ENDING THIS AGREEMENT

- 36. You may end this agreement at any time by writing to us. If you do so before any recovery, you will owe us nothing for our time, but you remain liable for disbursements already incurred and for any fee arising under clause 16.
- 37. We may stop acting only for good reason and on reasonable written notice — for example if you fail to give instructions, fail to pay a disbursement, ask us to act improperly, if a conflict arises, if our regulatory obligations require it, or if it becomes clear the Investigation has no reasonable prospect of producing a recovery. If we stop acting for good reason, clause 16 continues to apply.
- 38. On termination we will account to you for any money we hold and, subject to any lien, deliver your file in accordance with clause 44.

14. COMPLAINTS

39. We aim to give you a good service. If you are unhappy with any aspect of our service or our bill, please raise it first with [\[name\]](#). If that does not resolve matters, contact our Complaints Partner, [\[name\]](#), at [\[email\]](#). A copy of our complaints procedure is available on request. We will acknowledge your complaint within [\[5\]](#) working days and give a substantive response within [\[8\]](#) weeks.
40. If we do not resolve your complaint within eight weeks, or you remain dissatisfied, you may refer it to the Legal Ombudsman. You must normally do so:
- within **six months** of receiving our final written response; **and**
 - within **one year** of the act or omission complained of, or within one year of when you should reasonably have known there was cause for complaint.
- Legal Ombudsman, PO Box 6167, Slough SL1 0EH — 0300 555 0333 — enquiries@legalombudsman.org.uk — legalombudsman.org.uk
41. You may also have a right to object to our bill by applying to the court for an assessment under Part III of the Solicitors Act 1974. Separately, if you believe we have breached the SRA Standards and Regulations you may report the matter to the Solicitors Regulation Authority at sra.org.uk.

15. YOUR RIGHT TO CANCEL

42. Because this agreement is made away from our offices or at a distance, you have the right to cancel within **14 days** of the day after it is made, without giving a reason and without charge. To cancel, tell us in writing — you may use the form at Schedule 3, but you do not have to.
43. We will not begin work during the 14-day period unless you expressly ask us to in writing. If you ask us to begin and then cancel within the period, you must pay us a reasonable sum for the work done up to cancellation, and any disbursements incurred. If you do not ask us to begin early, work will start on day 15.

16. GENERAL

44. We will keep your file for [\[7\]](#) years after the matter closes, after which we may destroy it. We do not charge for retrieval but may charge for time spent on subsequent work on a retrieved file.
45. We do not hold client money on account of costs except as provided in this agreement. Any client money we hold will be held in accordance with the SRA Accounts Rules. Interest will be paid in accordance with our interest policy, available on request.
46. **Cybercrime warning.** Our bank details will not change during this matter. We will never notify you of a change of bank details by email. If you receive any such notification, treat it as fraudulent and telephone us on a number you have independently verified before sending any money.
47. Any dispute over the valuation of non-monetary Recovered Assets under clause 13 shall be referred to an independent valuer agreed between us or, failing agreement within 14 days, appointed on the application of either party by the President of the [\[RICS / relevant professional body\]](#), acting as expert and not arbitrator, whose decision is final. The cost is shared equally.
48. This agreement, and any non-contractual obligations arising from it, is governed by the law of England and Wales, and the courts of England and Wales have exclusive jurisdiction.

49. This agreement, its Schedules and our Terms of Business are the entire agreement between us and replace any earlier discussion or representation.

17. ACCEPTANCE

Please sign and return one copy. By signing you confirm that you have read and understood this agreement, in particular clauses 12, 23 and 42, that you have had the opportunity to take independent advice on it, and that you agree to be bound by it.

I confirm I have read and accept this engagement letter and non-contentious business agreement.

SIGNED — CLIENT

PRINT NAME

DATE

SIGNED FOR AND ON BEHALF OF EDISON LAW

Early start (optional). Tick and initial only if you want us to begin work before your 14-day cancellation period ends: ☐ I ask Edison Law to begin work immediately and I understand that if I then cancel within 14 days I must pay a reasonable sum for work already done. Initials

THE ACCOUNTS

The Investigation covers the following accounts. Add further rows as needed. Where an account number is not known, give as much identifying detail as possible.

#	PROVIDER	ACCOUNT NAME	SORT CODE	ACCOUNT NUMBER	PERIOD UNDER REVIEW
1					
2					
3					
4					
5					

Summary of your concern

Approximate sum in issue

[£] — this is an estimate only and does not limit the Investigation or our fee under clause 12.

AUTHORITY AND MANDATE

To: any bank, building society, payment institution, e-money institution, credit reference agency or other financial institution holding or having held any of the Accounts listed at Schedule 1, and to any regulator, ombudsman scheme or other body holding records relating to them.

I, [full name], of [address], date of birth [dd/mm/yyyy], being the holder or a holder of the Accounts, **irrevocably authorise and instruct you**, until this authority is revoked by me in writing:

- 1. to disclose to Edison Law, and to any forensic accountant, investigator or expert instructed by Edison Law on my behalf, all records, statements, mandates, instructions, correspondence, call recordings, audit logs, fraud reports and internal notes relating to the Accounts, for the period specified at Schedule 1 or, if none is specified, for the past six years;
- 2. to accept Edison Law as authorised to correspond with you on my behalf in relation to the Accounts, including making any complaint, chargeback claim, reimbursement claim or formal demand;
- 3. to treat any subject access request made by Edison Law in my name as made with my authority;
- 4. to accept a copy, scan or electronic image of this authority as if it were the original; and
- 5. to notify Edison Law of any material step you take in relation to the Accounts arising from that correspondence.

I confirm that I authorise Edison Law to receive on my behalf any sum paid or credited in connection with the Investigation, and to pay such sums into its client account.

SIGNATURE OF ACCOUNT HOLDER	PRINT NAME
DATE	DATE OF BIRTH
WITNESS SIGNATURE	WITNESS NAME, ADDRESS AND OCCUPATION

Where an Account is held jointly, each account holder must sign a separate copy of this authority.

CANCELLATION FORM

Complete and return this form only if you wish to cancel this agreement within the 14-day period described at clause 42. You do not have to use this form — any clear written statement will do.

To: Edison Law, [address] · [email] | edisonlawlegal.com

I hereby give notice that I cancel my contract with Edison Law for the provision of the following service:
forensic investigation of the accounts at Schedule 1, our reference [matter reference].

SIGNATURE

PRINT NAME

ADDRESS

DATE OF CONTRACT / DATE OF THIS NOTICE

Edison Law is authorised and regulated by the Solicitors Regulation Authority, SRA number [\[510498 — verify\]](#). This document is a non-contentious business agreement under section 57 of the Solicitors Act 1974 and is not a damages-based agreement within the meaning of the Damages-Based Agreements Regulations 2013.